

M/S Merino Industries Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Others

High Court of Judicature at Allahabad · Division Bench · 2 March 2012 (judgment; adjournment order of 23.2.2012) · Writ-C No. 9886 of 2012 · **Writ petition dismissed. The petitioner challenged the order dated 8.2.2012 refusing its application for a new electric connection on the ground that a case regarding electricity dues (about Rs.17 lakh) against the petitioner's firm was pending before the Divisional Commissioner and, till decided, the connection could not be given. The Division Bench held that the Section 43 duty of a distribution licensee to supply on request is to be read with the other provisions of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005; where supply is prohibited or not permitted by another provision, Section 43 cannot be invoked. Under Paragraph 4.3 of the Code, where dues are outstanding on a premises a fresh connection is not permitted until they are cleared, the object being to realize the dues and not to let an owner obtain a new connection while avoiding earlier arrears; Paragraph 4.9 (bank guarantee for release) applies only where the dues have been stayed by a court, whereas here they were merely sub-judice on appeal. The refusal was found not to be contrary to the Act or Code, and no interference was warranted.**

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HEADNOTE

The Section 43 duty to supply is subject to the Act and Code, and an outstanding-dues bar can justify refusal of a new connection. The petitioner, M/s Merino Industries Ltd., applied for a new electric connection; the licensee refused (order dated 8.2.2012) because a case concerning electricity dues of about Rs.17 lakh against the petitioner's firm was pending in appeal before the Divisional Commissioner, and the connection could not be given until the case was decided. The petitioner argued that mere pendency could not justify refusal, that Sections 43 and 44 of the Electricity Act, 2003 obliged the licensee to supply (Section 44 being the only exception), that at most the connection could be granted against security, and that Paragraph 4.3(f)(viii) of the Code applied only to a sale of premises and the dues were not crystallised. The Division Bench dismissed the petition. The duty under Section 43 to supply within one month must be construed and given effect in accordance with the other provisions of the Act and the Code; where supply is prohibited or not permitted by any other provision, Section 43 cannot come to the aid of the applicant, so Section 44 is not the only exception. The scheme of Paragraph 4.3 shows that where dues are outstanding on a premises, a fresh connection is not permitted until they are cleared — the object being to realize the dues and to prevent an owner from obtaining a new connection while avoiding the arrears of an earlier connection. Paragraph 4.9 contemplates release against a bank guarantee only where the dues have been stayed by a court; here the dues were outstanding and merely sub-judice before the appellate authority, not stayed. The refusal was therefore not contrary to the Act or Code, and it remained open to the petitioner to seek directions in, or early decision of, the pending appeal.

FACTUAL SUMMARY

The petitioner, M/s Merino Industries Ltd., applied to Pashchimanchal Vidyut Vitran Nigam Ltd. for a new electric connection. By order dated 8.2.2012 (Annexure-7 to the writ petition) the licensee refused the application on the ground that a case regarding electricity dues stood pending before the Divisional Commissioner in the name of the petitioner's firm and that, until it was decided, the connection could not be given. According to the respondents, dues of about Rs.17 lakh were outstanding against the petitioner's company, in respect of which the petitioner's appeal was pending before the Divisional Commissioner, and under Paragraph 4.3 of the U.P. Electricity Supply Code, 2005 a connection could not be granted until the dues were cleared; Paragraph 4.3 was not under challenge. The petitioner contended that mere pendency of the case could not justify refusal, that Sections 43 and 44 of the Electricity Act, 2003 cast a duty to supply (with Section 44 as the only exception), that the connection could at most be granted against security of the disputed amount, and that Paragraph 4.3(f)(viii) applied only where there was a sale of the premises and the dues were not crystallised. The Division Bench (Hon'ble Ashok Bhushan, J. and Hon'ble Mrs. Sunita Agarwal, J.) heard the parties and, by judgment dated 2.3.2012, dismissed the petition.

REUSABLE CONSTRUCTIONS

1. The Section 43 duty of a distribution licensee to supply within one month is subject to the other provisions of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005; where supply is prohibited or not permitted by

another provision (such as the Code's outstanding-dues bar), Section 43 cannot be invoked to compel a connection, and Section 44 is not the only exception to the duty. p. p. 7

2. Where electricity dues remain outstanding on a premises, a fresh connection is not permitted until the dues are cleared — the object being to realize the dues and to prevent an owner from obtaining a new connection while avoiding the arrears of an earlier connection. p. p. 7
3. Under Paragraph 4.9 of the Code, release of a connection against a bank guarantee is contemplated only where the dues have been stayed by a court; where the dues are merely sub-judice on appeal (not stayed), the connection may be refused pending clearance. p. p. 7

HOLDING-UNITS

INTERPLAY · EA2003::43

RATIO

The Section 43 duty to supply is subject to the Act and Code; where another provision prohibits supply, Section 43 cannot be invoked, and Section 44 is not the only exception

QUESTION

Is the distribution licensee's duty under Section 43 of the Electricity Act, 2003 to supply within one month absolute (subject only to Section 44), or is it subject to the other provisions of the Act and the U.P. Electricity Supply Code, 2005?

HOLDING

It is subject to the other provisions. The Section 43 duty to supply within one month must be construed and given effect in accordance with the other provisions of the Act and the Code; in a case where supply of electricity is prohibited or not permitted by any other provision of the Act or Code, Section 43 cannot come to the aid of a person praying for release of electricity. Section 44 (occurrences beyond the licensee's control) is accordingly not the sole exception to the duty — the Code's outstanding-dues bar also limits it. p. p. 7

EVIDENCE *“In a case where supply of electricity is prohibited or not permitted by any other provisions of the Act or Code, Section 43 cannot come in the aid of person praying for release of electricity.”* p. p. 7

FLAG Prose judgment with printed page numbers (pin_basis=page); the operative reasoning is on p. 7, where a page-number footer is embedded mid-sentence in the source. Sections 43-44 are reproduced on pp. 2-3 and Para 4.3 on pp. 4-6.

HOLDING-UNIT · UP-2005::4.3(f)

RATIO

Outstanding dues on a premises bar a fresh connection until cleared; the object is to realize the dues and prevent avoidance of earlier arrears

QUESTION

Can a new connection be refused because electricity dues (sub-judice in appeal) remain outstanding against the applicant, or must the licensee supply and pursue the dues separately?

HOLDING

The refusal is valid. The scheme of Paragraph 4.3 of the Code indicates that where there are dues on a premises, a fresh connection is not permitted unless the dues are cleared; the object is to realize the dues and not to make it permissible for the owner to obtain a new connection by not paying the arrears of the earlier connection. Here the dues (about Rs.17 lakh) were outstanding and sub-judice before the appellate authority, and the refusal of the new connection was not contrary to the provisions of the Act and the Code; it remained open to the petitioner to seek directions in, or an early decision of, the pending appeal. p. p. 7

EVIDENCE *“The scheme of the Code as delineated from Paragraph 4.3 of the Code, clearly indicates that if there are dues on a premises, which has been sold, no electricity supply can be given.”* p. p. 7

EVIDENCE *“For an electric connection in a premises if there are dues, fresh connection is not permitted unless the dues are cleared with the object to realize the dues and not to make it permissible for the owner to obtain new connection by not paying arrears of earlier connection.”* p. p. 7

EVIDENCE *“The refusal of granting new connection cannot be said to be contrary to the provisions of the Act and Code in facts of the present case.”* p. p. 7

FLAG The petitioner contended Para 4.3(f)(viii) applies only to a sale of premises and that the dues were not crystallised; the Court applied the arrears-bar object without expressly resolving that textual argument.

HOLDING-UNIT · UP-2005::4.9

OBITER

A bank guarantee for release of a connection is available only where the dues have been stayed by a court, not for dues merely sub-judice on appeal

QUESTION

Could the connection be released against security/bank guarantee, as the petitioner suggested, while the dues remained disputed in appeal?

HOLDING

Not on these facts. Paragraph 4.9 of the Code deals with the circumstance where the dues have been stayed by a court of law, in which event a bank guarantee is contemplated for release of the connection. Here the dues were outstanding and merely sub-judice before the appellate authority (not stayed), so the bank-guarantee route under Paragraph 4.9 was not attracted. **p. p. 7**

EVIDENCE “Paragraph 4.9 of the Code is with regard to a circumstance when the dues have been stayed by any court of law, in that event a bank guarantee is contemplated for release of the connection. Present is a case where the dues are outstanding against the petitioner, which are sub-judice before appellate authority.” **p. p. 7**

FLAG Answers the petitioner's alternative plea that the connection be released against security; obiter distinction of Para 4.9 (stayed dues) from mere pendency.

PRINCIPLE TAGS

section-43-duty-to-supply-subject-to-act-and-code The Section 43 duty to supply within one month is subject to the Act and Code; where the Code's outstanding-dues bar prohibits supply, Section 43 cannot be invoked, and Section 44 is not the only exception. **p. p. 7**

fresh-connection-refused-for-outstanding-arrears A fresh connection was refused because the applicant's electricity dues (about Rs.17 lakh, sub-judice on appeal) remained outstanding; dues must be cleared first, the object being to realize them and prevent avoidance of earlier arrears. **p. p. 7**

bank-guarantee-for-connection-only-where-dues-stayed Paragraph 4.9 (release against a bank guarantee) applies only where the dues have been stayed by a court; mere pendency of an appeal (not a stay) does not entitle the applicant to a connection on security. **p. p. 7**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER PARAGRAPH 4.3(F)(VIII) (ARREARS BAR) APPLIES ONLY WHERE THERE IS A SALE OF THE PREMISES, AND WHETHER THE DUES WERE 'CRYSTALLISED'

The petitioner so contended; the Court applied the arrears-bar object of Paragraph 4.3 generally and dismissed the petition without expressly resolving the sale-specificity or crystallisation arguments. **p. p. 2**

RELATED CASES — SEE ALSO

SCJ-037 — The leading Supreme Court authority on Section 43 duty to supply and the recovery of a previous consumer's dues — here the dues were not extinguished but sub-judice, so the arrears bar justified refusal.

SCJ-2217 — Companion on the Clause 4.3(f) arrears bar against a new connection, there displaced by IBC extinguishment — contrast with the outstanding, non-extinguished dues here.

SCJ-2211 — Clause 4.3(f) arrears bar on a new connection, addressed through the undertaking route — same arrears-bar family.

SCJ-1978 — Interim release of a connection on a bank guarantee for disputed arrears — the Para 4.9 security route the Court here found unavailable absent a stay.

SCJ-655 — Clause 4.3(f) new connection and the duty-to-supply/extinguishment interplay — arrears-bar sibling.

